

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$121.00 ▼ 0.90%	12M Price Target \$145.00	52-Week Range \$63.52 – \$153.86	Market Cap \$108.79B
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HOOD: Crypto Deal + Oura IPO = Wall Street Ambitions

WHAT HAPPENED

- HOOD popped huge on Sept 3rd (from ~\$107 to \$124 on 51M shares — over 2x normal volume) and has been consolidating there. The catalyst: Robinhood took an equity stake in Crypto.com AND landed a lead underwriting role on Oura's IPO. Translation — they're not just a trading app anymore, they're trying to be Goldman Sachs for millennials. Goldman itself raised its price target on the news.
- Today's small dip (-0.90%) is just profit-taking after a monster run. The tokenization narrative (turning real-world assets like stocks into crypto tokens) that drove some of the recent hype is cooling off a bit — AMC fell 5% on that theme today while HOOD held up fine, which tells you HOOD has its own catalysts beyond the meme rotation.

WHY IT MATTERS

The Crypto.com deal is bigger than it looks — Robinhood is using them to power prediction markets (betting on election/event outcomes), which is one of the fastest-growing corners of retail finance and was essentially illegal until the current administration's lighter-touch CFTC leadership let Kalshi and Polymarket flourish. Underwriting Oura's IPO is the real tell though — this is Robinhood elbowing into investment banking, a \$100B+ fee pool dominated by Goldman and Morgan Stanley. If they can convert even 5% of their 25M+ users into IPO buyers, they've built a distribution moat no incumbent can match. Watch for more underwriting mandates in Q4 — that's the confirmation this strategy is working.

POLICY & POLITICAL WATCH

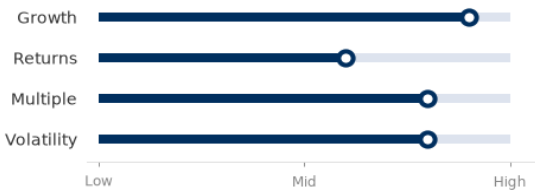
The regulatory tailwind here is massive: the GENIUS Act and CLARITY Act (crypto market structure bills) moving through Congress would give HOOD legal clarity to expand crypto offerings — direct revenue tailwind since crypto is already ~35% of transaction revenue. Separately, the CFTC under the current administration has been openly permissive on prediction markets, which is exactly why HOOD is racing to build here now before rules potentially tighten. The one to watch: any SEC rulemaking on payment-for-order-flow (PFOF) — that's how HOOD makes money on stock trades, and while the current SEC has backed off Gensler-era hostility, a change in political winds in 2028 could put this back on the table.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$121.00
12M Price Target	\$145.00
Upside / (Downside)	+19.8%
Market Cap	\$108.79B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,300M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.45
Fwd P/E	65.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$135.00	\$125.00	\$108.00
6 Months	\$160.00	\$140.00	\$95.00
1 Year	\$185.00	\$145.00	\$85.00
2 Years	\$230.00	\$175.00	\$75.00
5 Years	\$350.00	\$240.00	\$60.00
10 Years	\$600.00	\$380.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities and Energy leading today — that's a defensive-plus-AI-power-demand trade, not a risk-on signal. Tech is quietly strong (+0.79% for the week) which supports fintech.

COOLING OFF: Consumer Discretionary is bleeding (-1.89% for the week) — that's usually a warning sign for retail-facing businesses, though HOOD's user base has been surprisingly resilient.

ROTATION WATCH: Money is rotating toward "AI infrastructure" (utilities/energy for power, tech for compute) and away from consumer names. HOOD sits weirdly in the middle — it's a fintech but trades like a growth/crypto proxy.

RELATED PLAY: If HOOD's prediction markets thesis works, watch Kalshi (private) and any public exchanges levered to event contracts. On the crypto rails side, COIN (Coinbase) is the pure-play alternative — often moves in tandem with HOOD.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto regulation tailwinds and benefits from every uptick in retail crypto interest.
- IBKR (Interactive Brokers): Boring compounder that keeps hitting new highs on volume growth — proves the retail trading boom is real, not just meme-driven.

HOOD CONTEXT: HOOD is leading its peer group on catalyst count (Crypto.com, Oura, prediction markets all in one week) but lagging on profit consistency. The market is paying up for the optionality — as long as management keeps delivering deals, the premium multiple holds.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Strong buy on the platform expansion thesis, but the recent 15%+ run means I'd be patient on entry rather than chasing.

POSITION SIZE: 3-5% of portfolio — high-conviction growth name but volatility is real, so don't oversize.

ENTRY POINTS: \$110-115 on any crypto pullback or macro fear day. If it breaks below \$105, that's your table-pounding buy zone.

TIME HORIZON: 12-24 months — the catalyst you're waiting for is Q4 earnings showing prediction markets + underwriting revenue actually hitting the P&L in a meaningful way.

WHEN TO BAIL: If crypto revenue drops >30% quarter-over-quarter, or if the CFTC/SEC signals a crackdown on prediction markets, get out. Also bail if the founders start selling in size (none of that showing up yet — good sign).

HEDGING: Simplest hedge is to keep the position modest. If you want protection, buy put options 10-15% out of the money for 3 months out — that limits your downside for a small premium if things get ugly.